FREE FINANCING REPORT

Mixed-Use Property Financing Report

Why This Category Draws Genuine Competition Among Lenders, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

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Why Mixed-Use Financing Requires a Different Approach

Mixed-use properties combine residential and commercial income streams under one roof, and 2026 data shows this remains a genuinely competitive financing category — provided the mix of uses fits within the right program's guidelines. That combination — deep leverage from SBA 504, agency pricing for residential-heavy properties, and a wide bench of conventional, CMBS, and insurance company lenders — is exactly why mixed-use financing stays accessible, even though the underwriting is more layered than a single-use property.

- **Multiple capital sources genuinely compete for well-balanced deals.** Conventional, CMBS, insurance company, USDA, SBA 504, bridge, and construction lenders are all actively financing mixed-use properties in 2026.
- **Agency financing remains available for residential-heavy properties.** Fannie Mae allows commercial space up to 35% of net rentable area and effective gross income; Freddie Mac allows up to 25% (33% under Small Balance Loan exceptions) — opening access to lower-cost agency pricing.
- **SBA 504 offers the deepest leverage for owner-users.** Current SBA pricing runs 6.19% to 6.28% with leverage up to 90% LTV, among the most attractive terms available for owner-occupied mixed-use.
- **Leverage runs meaningfully high across most programs.** Conventional loans reach up to 80% LTV for owner-occupied properties, and USDA programs reach up to 85%.
- **Coverage requirements are moderate and achievable.** Minimum combined-NOI DSCR runs 1.20x to 1.25x across most conventional products, in line with broader commercial real estate standards.

That said, this remains a more layered underwriting exercise than a single-use property. Properties where commercial income exceeds roughly 50% of total revenue fall out of residential-oriented underwriting and into commercial-style underwriting through CMBS or insurance company channels, and financing costs span a wide range depending on program — from 5.55% on the low end of conventional to as high as 12.75% for bridge financing on transitional assets. Lenders increasingly evaluate each component's independent viability, and many require pre-leasing of commercial space before releasing multifamily financing.

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2026 Market Outlook for Mixed-Use Property Financing

Mixed-use financing enters 2026 with genuine lender competition, but the commercial-to-residential mix is the single biggest factor determining which capital sources are even in play. The following figures outline where the market stands:

- Financing costs vary widely by program: conventional loans price at 5.55% to 8.96%, CMBS at 6.37% to 8.21%, insurance company loans at 5.87% to 9.03%, USDA at 6.00% to 8.75%, and SBA at a comparatively tight 6.19% to 6.28%, while bridge financing for transitional deals runs 5.75% to 12.75%.

  Source: CommercialLoanDirect, Mixed Use Commercial Loans, 2026

- Leverage available scales by program type: conventional loans cap at 75% LTV for investment properties (80% for owner-occupied), CMBS and insurance company loans cap at 75%, USDA reaches 85%, and SBA 504 offers the deepest leverage at up to 90% LTV.

  Source: CommercialLoanDirect, 2026

- Coverage requirements remain moderate: minimum combined-NOI DSCR runs 1.20x to 1.25x across most conventional products, with terms typically spanning 3 to 15 years and amortization schedules of 15 to 30 years (bridge and construction financing limited to 1 to 3 year terms).

  Source: CommercialLoanDirect, 2026

- Agency financing hinges on a hard commercial-component ceiling: Fannie Mae caps commercial space at 35% of net rentable area and effective gross income, while Freddie Mac generally limits it to 25% (up to 33% under Small Balance Loan exceptions) — properties exceeding these thresholds fall out of agency pricing entirely.

  Source: Janover Pro, Broker Guide to Mixed-Use Finance, 2026

- HUD programs apply the tightest limits of all: standard HUD 221(d)(4)/223(f) guidelines cap commercial space at just 10% of net rentable area and 15% of effective gross income, with exceptions allowing up to 25%/20% in select cases.

  Source: Janover Pro, 2026

- Underwriting increasingly treats each component as independently viable: lenders require pre-leasing of commercial space before releasing multifamily financing in many transactions, and evaluate developer track record with comparable mixed-use projects specifically.

  Source: Janover Pro, 2026

Bottom line for 2026: Mixed-use financing draws genuine competition among lenders — SBA 504 offers deep leverage for owner-users, agency programs remain available for residential-heavy properties, and conventional, CMBS, and insurance company lenders all participate. But the commercial-to-residential mix is the gating factor: properties that fit within agency or HUD percentage limits access meaningfully better pricing and leverage than those that don't, making an accurate, well-documented breakdown of the two income streams essential before a lender is even approached.

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Critical Financing Metrics for Mixed-Use Properties

Lenders in this space underwrite the residential and commercial components both separately and in combination. The following metrics most often determine whether a request moves forward:

1. **Commercial Component Share (% of NRA / EGI)**
   The single biggest gating factor for program eligibility — how much of the property's space and income comes from commercial use.
   Fannie Mae ≤35%; Freddie Mac ≤25% (up to 33% SBL); HUD ≤10%–25%

2. **Residential Occupancy and Rent Roll Quality**
   Historical and current occupancy along with market-rate rent support for the residential component.

3. **Commercial Tenant Credit and Lease Term**
   Creditworthiness of commercial tenants and remaining lease terms, since near-term rollover is heavily scrutinized.

4. **Combined Debt Service Coverage Ratio**
   Net operating income from both components measured against total annual debt service.
   1.20x–1.25x minimum (combined NOI)

5. **Loan-to-Value**
   Leverage available scales by program, from conventional and CMBS on the lower end to SBA 504 on the higher end. **75%–90% depending on program**

6. **Sponsor/Developer Track Record with Mixed-Use**
   Documented experience managing or developing properties with both residential and commercial components.

7. **Pricing by Program**
   Interest rate available depends heavily on which financing channel the property qualifies for. **5.55%–9.03% conventional/CMBS/insurance; 6.19%–6.28% SBA; 5.75%–12.75% bridge**

These metrics form the practical filter that separates mixed-use financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Separate and combined rent rolls for residential and commercial components are organized
- [ ] Trailing 12-month operating statements (with income and expense detail by use if possible) are prepared
- [ ] Commercial tenant credit information and lease abstracts are documented
- [ ] Residential occupancy and rent details are current
- [ ] Property description clarifying the mix, square footage, and physical relationship of the uses is prepared
- [ ] Market data supporting both residential and commercial demand is gathered
- [ ] Environmental reports (Phase I standard) are complete
- [ ] Existing debt schedule, entity documents, and sponsor experience/financials are current

Common Reasons Mixed-Use Financing Requests Underperform or Get Declined

- Missing or incomplete component-level rent rolls
- Weak or incomplete commercial tenant credit or lease detail
- Commercial component exceeding the target program's percentage limits
- Unresolved near-term commercial lease rollover
- Incomplete overall operating history or environmental documentation

Final Perspective

Mixed-use financing in 2026 draws genuine competition among lenders — SBA 504 offers deep leverage for owner-users, agency programs remain available for residential-heavy properties, and a wide bench of conventional, CMBS, and insurance company lenders all participate. But because the commercial-to-residential mix determines which capital sources are even eligible, the deals that finance most smoothly are the ones where the sponsor has accurately documented both components from the start rather than discovering a program mismatch mid-process.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing component-level rent rolls, weak commercial tenant detail, and a commercial share that exceeds the target program's limits are among the most common reasons otherwise solid mixed-use financing requests lose time, money, and momentum.

YOUR NEXT STEP

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